

Class 6

Why Nations Diverge

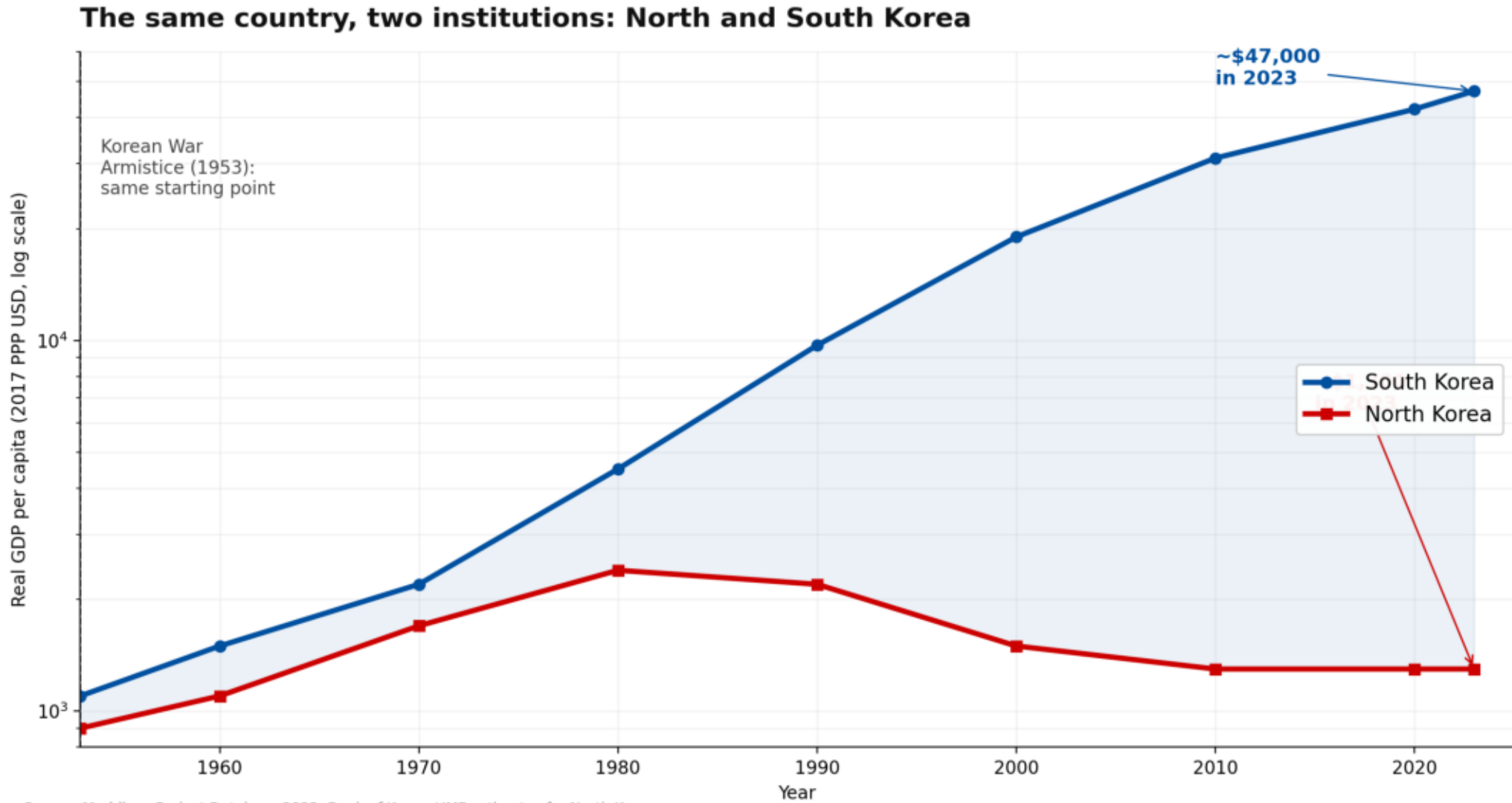
Part I — The Growth Miracle

The Korean peninsula at night



Source: NASA, International Space Station photograph ISS038-E-038300 (January 30, 2014), via NASA Earth Observatory, "The Koreas at Night." Public domain.

Same country, two institutions: North and South Korea



Institutions and prosperity (Acemoglu-Johnson-Robinson)

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ACEMOGLU ET AL.: THE COLONIAL ORIGINS OF DEVELOPMENT

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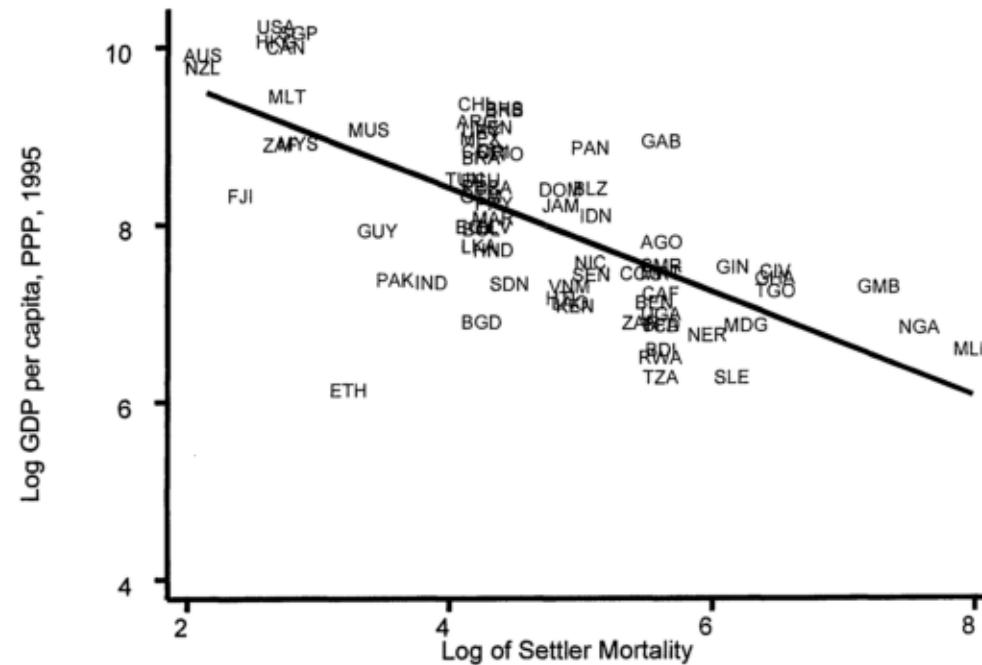


FIGURE 1. REDUCED-FORM RELATIONSHIP BETWEEN INCOME AND SETTLER MORTALITY

(first-stage) relationship between settler mortality rates and current institutions, which is interesting in its own right. The regression shows that mortality rates faced by the settlers more

institutions to the level of Chile could, in the long run, lead to as much as a 7-fold increase in Nigeria's income (in practice Chile is over 11 times as rich as Nigeria).

Why did some nations get rich? Five explanations

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Which best explains the world of 1500? Of 1800? Of 2025?



The course's working answer: institutions and beliefs do the heavy lifting — but honest economics keeps all five on the table.

Framings: Acemoglu-Johnson-Robinson; Diamond; Sachs; McCloskey; Mokyr; Chinoy, Nunn, Sequeira, and Stantcheva (zero-sum beliefs).